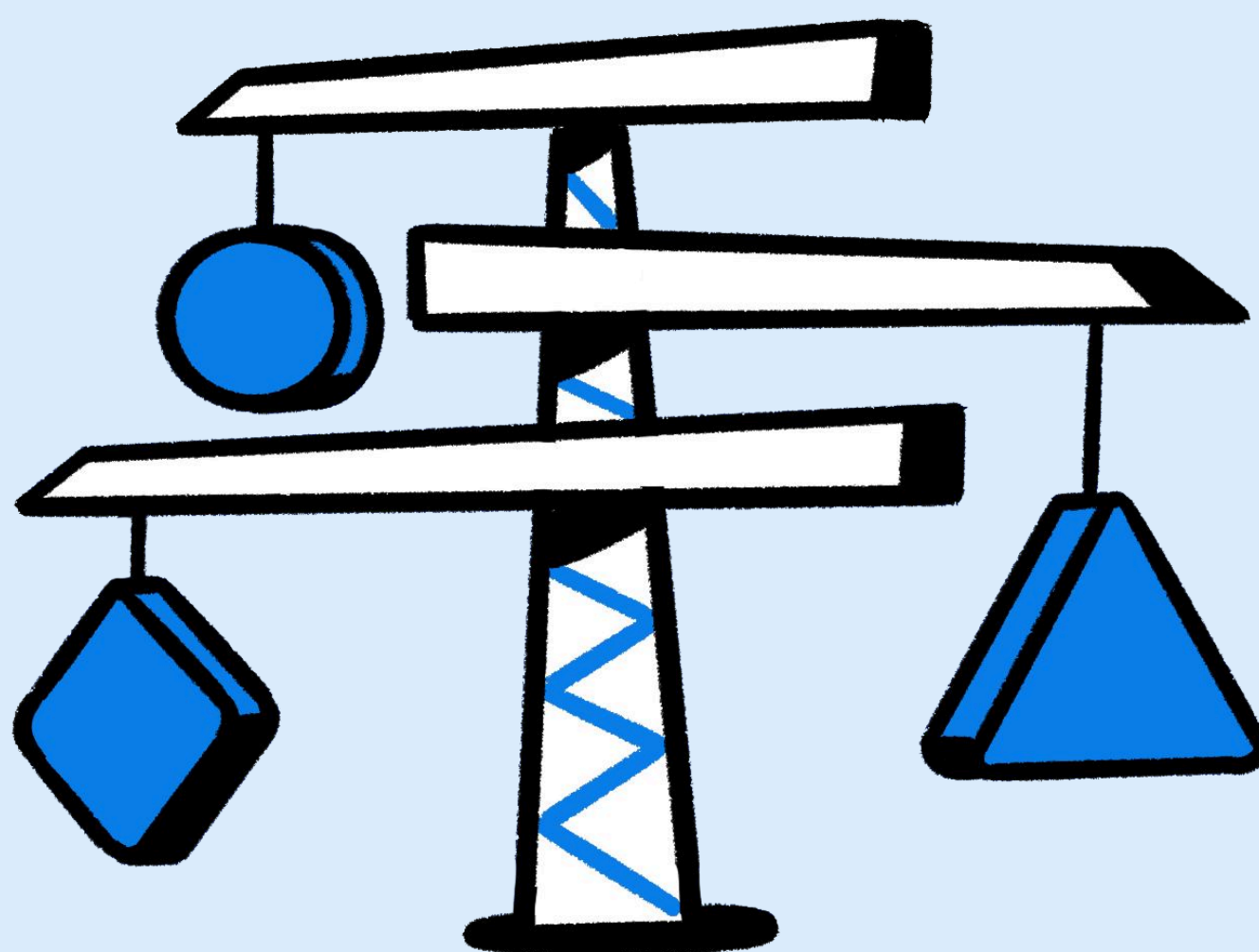


The Future of Product Development

A research report by Notion



About this report



Summary

Engineering, Product, and Design (EPD) teams are caught in the Context Gap: Only 33% feel aligned with cross-functional partners, and teams waste hours updating multiple systems instead of building products. AI can help—and while 91% claim good AI adoption, tools and workflows are still too fragmented for AI to truly help.

Solution

A three-phase approach that starts with



Centralizing company knowledge



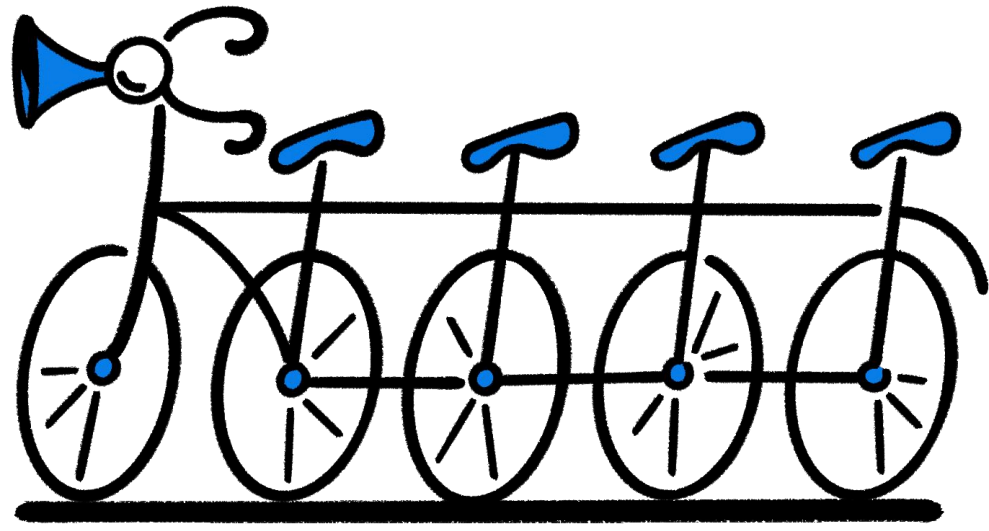
Connecting workflows



Leveraging AI

*This research was conducted in partnership with **Censuswide**, who surveyed 1,350 EPD (engineering, product management, and design) leaders and team members at Commercial, Mid-Market, and Enterprise organizations across the USA, UK, France, Germany, Japan, South Korea, Australia, Singapore, Austria, and Switzerland. Fieldwork ran from July 16–25, 2025.*

Bridging the Context Gap: Why product teams struggle despite better tools



Product development has never been more important—or more challenging. Teams have access to more powerful tools than ever, but manual processes and misaligned teams still slow everything down. The promise is that AI will unlock unprecedented speed and innovation. The reality is that most teams are running below potential.

EPD teams drive company growth but face mounting pressure to continue to ship faster with higher quality. The gap between AI hype and real productivity gains is widening, so the companies that overcome this gap now will have a significant competitive advantage.

To learn more, we surveyed 1,350 Engineering, Product, and Design (EPD) leaders and team members across 10 countries to understand the real barriers to EPD productivity and AI impact. Turns out, teams are caught in the **Context Gap**: While teams burn time updating tools and chasing information, they're increasingly misaligned on the work that actually matters.



The solution isn't more tools. It's bridging gaps by centralizing knowledge, connecting workflows, and making AI accessible to everyone.

The cost of scattered knowledge and misalignment

Here's an example: A product manager thinks their team is aligned on requirements for a new feature they're building. The engineering lead is confident everyone understands the technical constraints. The designer believes the user flow is crystal clear to all stakeholders.

Yet only **33%** of **EPD teams** actually feel **fully aligned** with their core product development team and cross-functional partners.

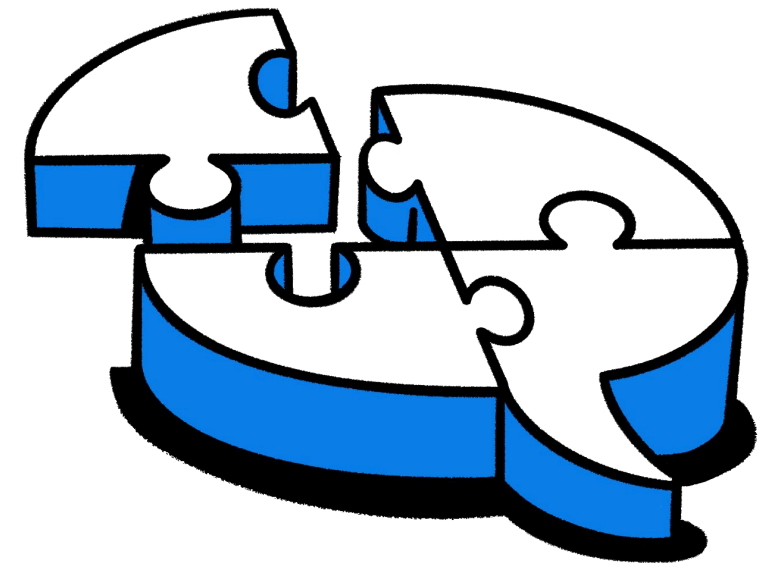


Just 37% of Engineering teams reported feeling "fully aligned" with their development team and cross-functional partners, compared to just 27% of Designers.

The problem is, leadership thinks everything is fine. 85% of executives believe teams are aligned, compared to just 72% of individual contributors (ICs). This shows that the people actually building the products see a different reality than those setting the strategy.



This misalignment runs deeper than functional differences between product, engineering, or design



Directors and VPs report the lowest alignment (65%), creating a broken bridge between executive vision and IC execution. When the management layer that's supposed to translate strategy into action feels misaligned, it cascades down through the entire organization.

So why does this disconnect exist? Executives see outcomes—shipped features, completed sprints, green status reports—but they miss the daily friction. ICs experience the reality down-funnel: Waiting for decisions, searching for context, working with outdated information.

This isn't a communication problem, it's an information architecture problem. The top two reported causes of product development delays? Misalignment and scattered information. When knowledge needed to do day-to-day work is scattered across Slack messages, Jira tickets, design docs, email threads, and miscellaneous meeting notes, it's harder for teams to make fast, informed decisions.

Instead, they're left questioning knowledge accuracy—or missing context altogether. And misaligned teams can't leverage AI strategically. While AI can search across scattered sources more effectively, it needs the right inputs. Teams still need shared context and priorities to know what questions to ask and how to act on the answers.

Perceptions of alignment drop at different levels across teams

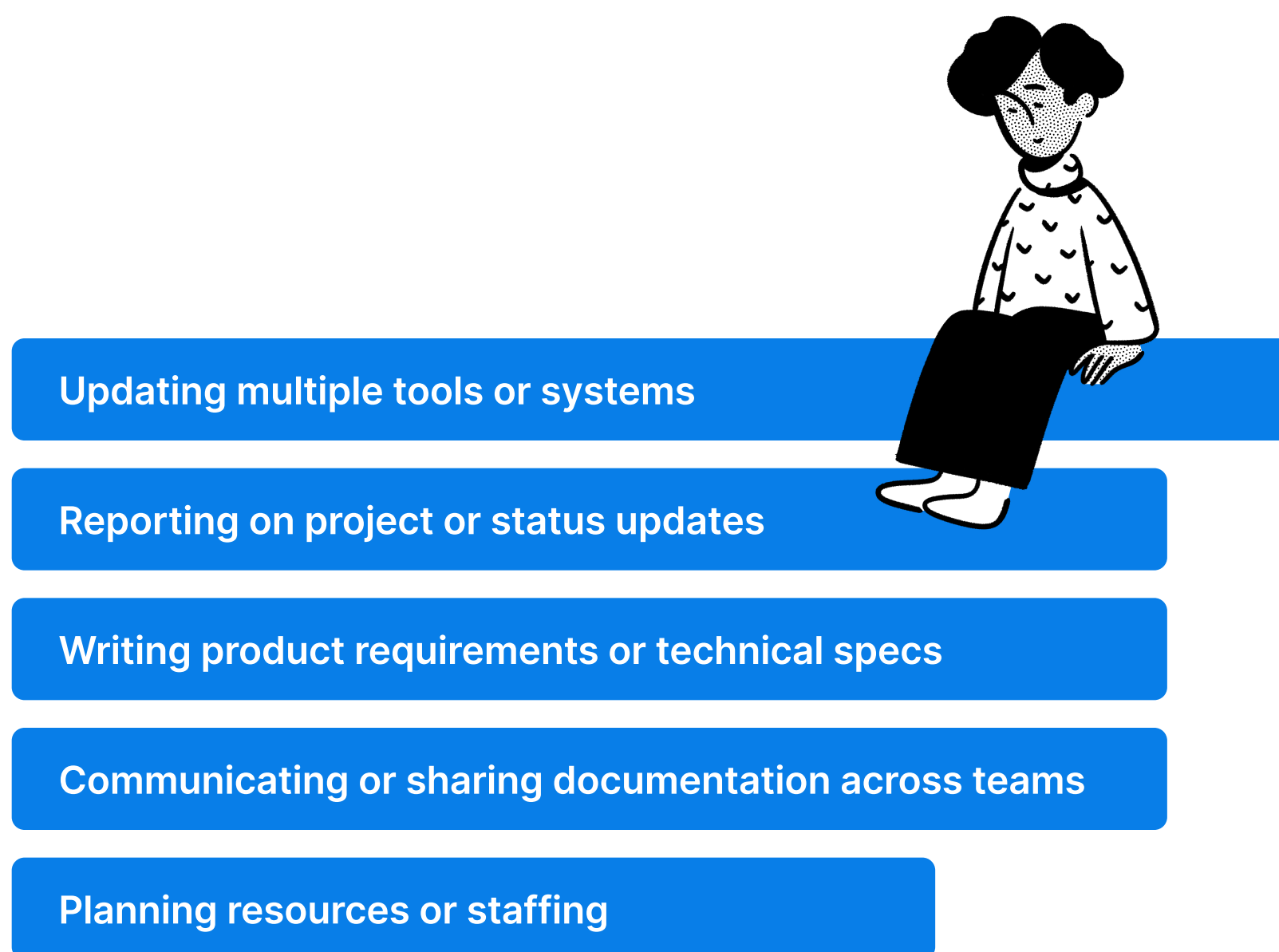


The tool sprawl trap: More tools, less productivity

Teams aren't just using more tools—they're drowning in them. 44% of EPD teams juggle six or more tools daily, and this problem only compounds as companies grow.

Here's the universal reality:

Almost all respondents—**99%**—find some part of the **product development process** manual, repetitive, or time-consuming.



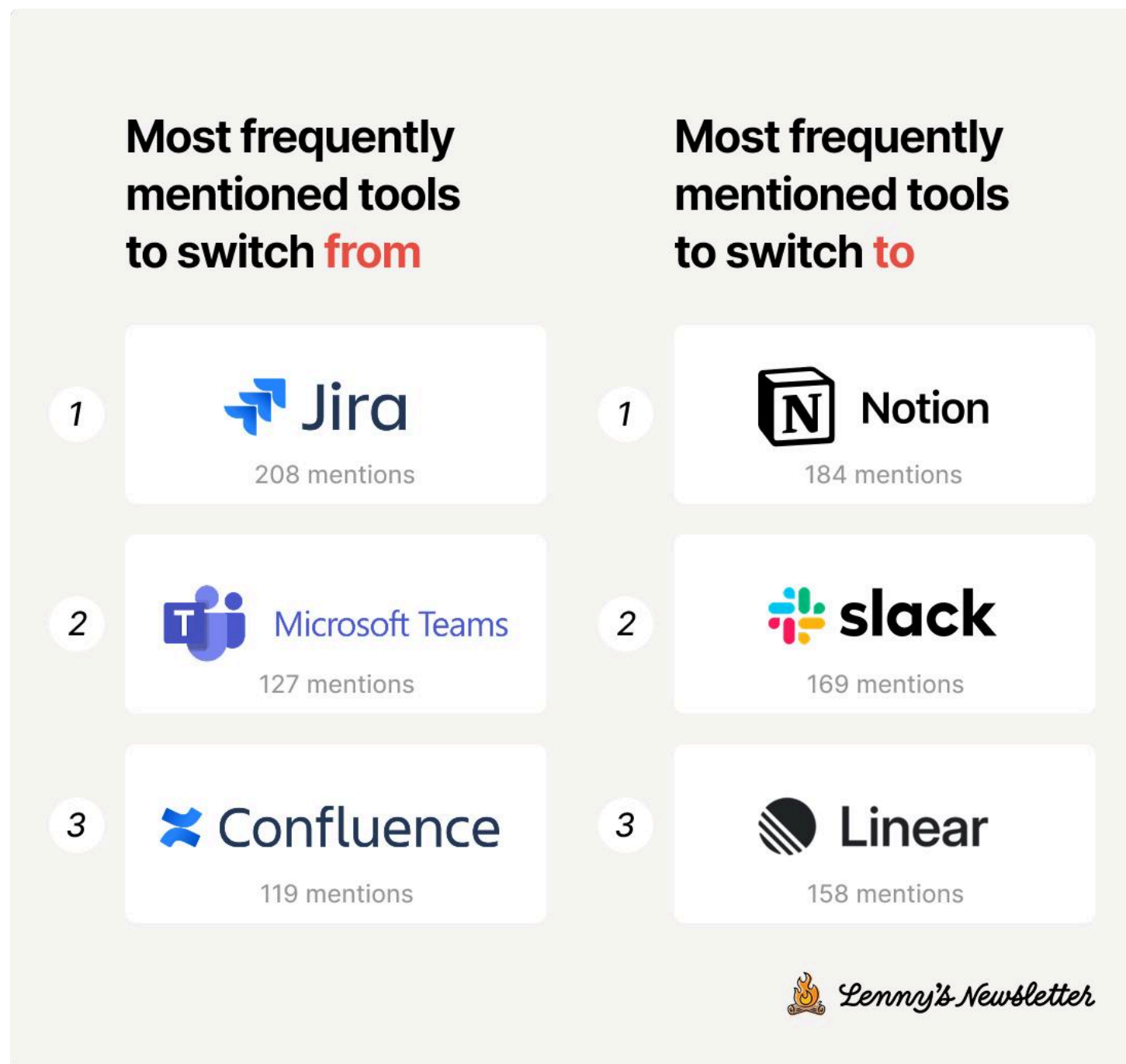
The top five most manual processes reported by EPD teams, with “updating multiple tools or systems” leading the way.

When you add more tools to your stack, each additional tool brings more complexity, more integrations to manage, and information becomes harder to find. Instead of seamless workflows, teams find themselves in an endless cycle of busywork—updating tickets, syncing project statuses, and chasing down decisions. Respondents said their most draining daily task is updating multiple systems across their tool stacks. Status reporting came in second at 24%—essentially communicating what the tools should already know.

Teams spend more time managing tools than using them to create value. Time that could be spent innovating gets crowded out by administrative overhead. Instead of building the next breakthrough feature, engineers update Jira tickets. Instead of refining user experience, designers hunt for the latest requirements across Slack, Notion, and email threads.



This creates the perfect storm: teams overwhelmed by disconnected tools and fragmented information. Most AI implementations just add another isolated tool to the stack. But the right kind of AI can actually bridge these gaps instead of widening them.



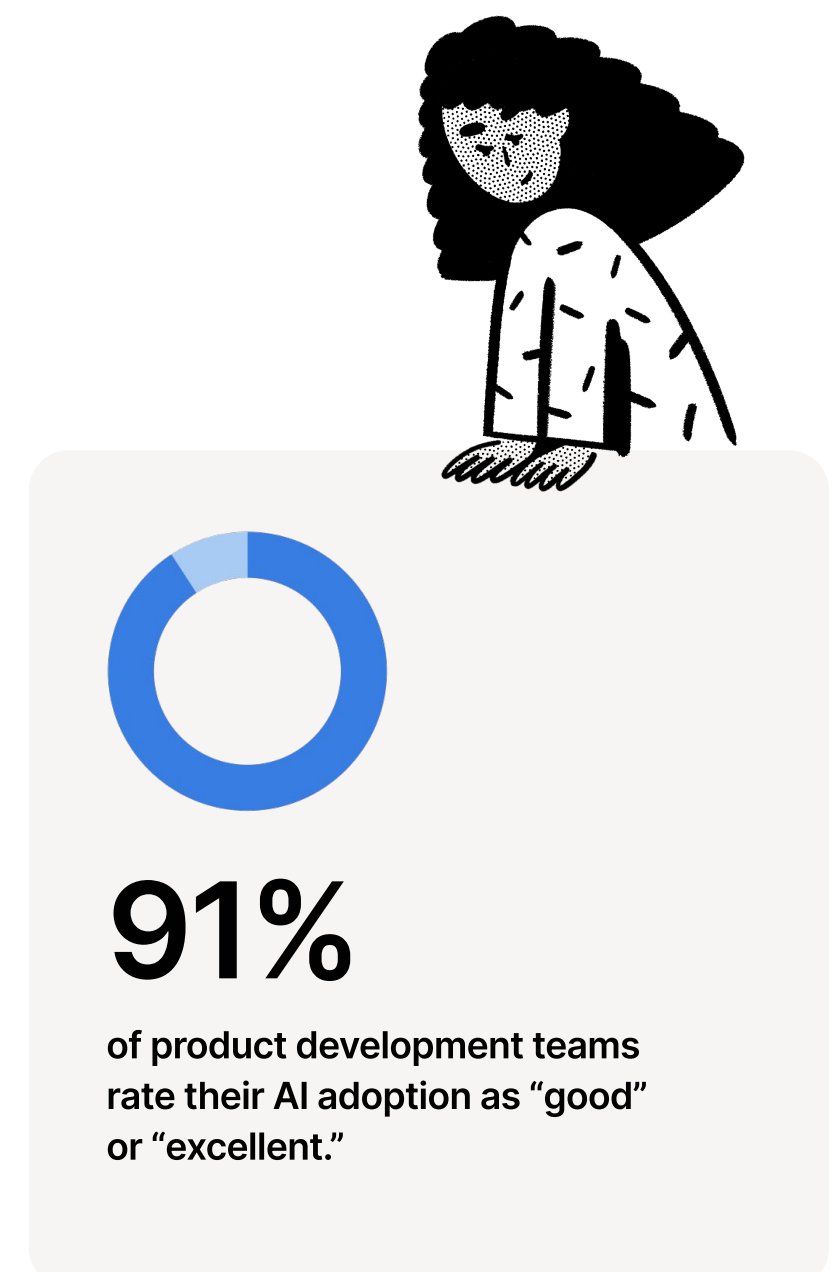
Lenny's Newsletter recently surveyed 6,500 product managers and revealed a fundamental shift in how teams choose tools. The data showed that teams are moving from rigid, single-purpose tools to what Lenny calls a "new breed of tools" that prioritize collaboration and flexibility.

Source: "What's in your stack? The state of product tooling in 2024"

Why AI fails without connected context

Given these productivity challenges, teams are turning to AI as a potential solution. But the reality is more complex than the adoption numbers suggest.

91% of product development teams rate their AI adoption as "good" or "excellent." On the surface, that sounds like resounding success. AI has arrived, teams have embraced it, and productivity should be soaring.



ICs are 3x more likely than executives to say AI adoption is *actually* poor

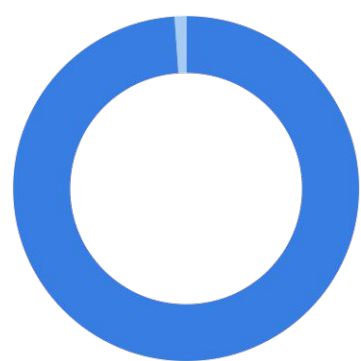


This gap reveals something important: **Simply purchasing tools or issuing mandates doesn't lead to true adoption.** Surface-level implementation—over half of EPD teams say they use ChatGPT throughout the product development process—doesn't equal transformation.

Leaders need to strategize how AI supports their teams' actual workflows and operationalize adoption, rather than an implementation free-for-all that puts the burden on individual teams to figure it out. Otherwise, you get what we're seeing now, where AI tools that exist in isolation are disconnected from the real work.

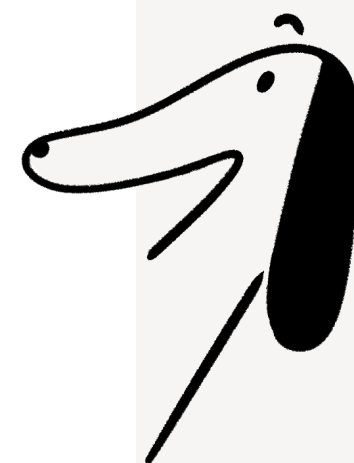
The teams that are successfully experimenting with AI are doing so across a few key use cases, like data analysis and summarization, review preparation, and knowledge retrieval. Coding assistants have gained significant traction, but the most effective implementations still integrate with existing development workflows instead of operating as standalone tools.

There's a pattern: AI succeeds when it can reduce the manual, repetitive work that drains productivity. The same work we identified as consuming 99% of teams' time.



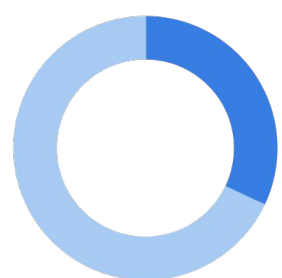
99%

of respondents find parts of product development manual, repetitive, or time-consuming



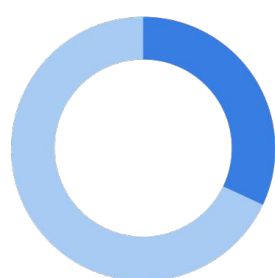
Connectivity barriers are holding teams back

Teams want AI to work—they're just struggling with trust and usability. Their top concerns tell the whole story: unreliable outputs (32%), poor workflow integration (30%), and security concerns (29%).



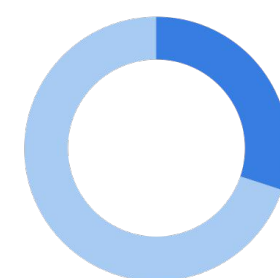
32%

of respondents cite unreliable outputs as their top concern with AI adoption



30%

say poor workflow integration is a major barrier to using AI effectively



29%

of teams report data security as a key concern when adopting AI

When you dig in, these issues are all connected. When AI tools don't integrate with existing workflows, they face two problems: **They lack context for quality outputs, and they can't actually automate tasks in the tools teams use most.** This creates a vicious cycle where poor integration leads to poor results, which leads to poor adoption. It's why AI's promise to eliminate manual work hasn't been realized—yet.

The most common uses of AI by job levels



ICs

Workflow automation and task routing



Managers

Data analysis and report summaries



Directors and VPs

Review prep and note summarization



Executives

Enterprise search and knowledge retrieval



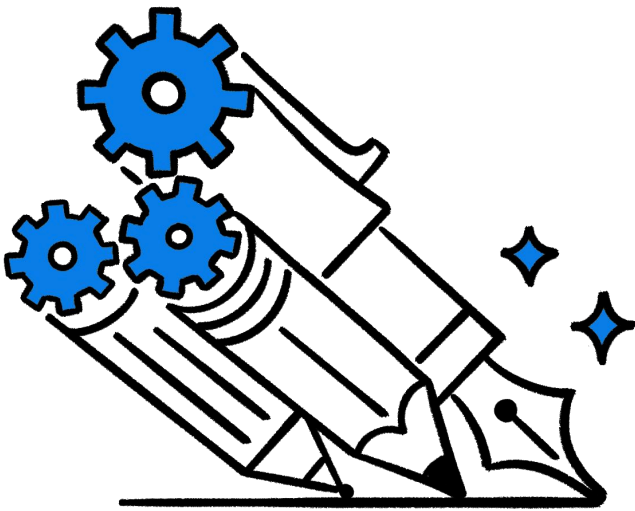
Current standalone AI tools often create more silos instead of bridging gaps. Each tool requires its own login, its own data inputs, its own workflow. Instead of reducing cognitive load, they increase it.

This all has a compounding effect. Scattered information makes AI less effective because of incomplete context. Teams implement AI inconsistently because they have conflicting priorities. Tool sprawl means AI becomes just another tool to manage, rather than the productivity multiplier it could be.



Standalone AI	Embedded AI
✗ Operates in isolation from your workflow	✓ Integrated where teams already work
✗ Lacks context from your knowledge base	✓ Has access to centralized company knowledge
✗ Can't update your systems	✓ Makes changes to daily tools
✗ Requires context-switching to different tools	✓ Deeply integrated in existing workflows
✗ Creates more silos to manage	✓ Pulls information across tools, bridging gaps

Building a foundation for AI that works



When we asked EPD teams about their top priorities for the next 12 months, improving documentation and knowledge sharing came out on top—ranking higher than faster shipping, better cross-functional alignment, or scaling AI.

Broken down by role type, priorities varied: ICs prioritized better documentation and knowledge sharing, managers wanted speed and output improvements, Directors and VPs focused on cross-functional alignment, and executives emphasized experimentation and innovation.

At first glance, these might seem like competing interests. How do you satisfy the IC who wants better documentation while supporting the executive who wants more experimentation?

But these priorities actually reinforce each other. Better documentation enables alignment, which enables innovation. A good foundation supports a long-term vision for growth and success.

Here's the universal reality

Almost all respondents—**99%**—find some part of the **product development process** manual, repetitive, or time-consuming.



Priorities varied based on role type

Individual Contributors

Better documentation and knowledge sharing 35%

Managers

Speed and output improvements 33%

Directors and VPs

Cross-functional alignment 36%

Executives

Experimentation and innovation 39%

Teams instinctively understand that better knowledge sharing enables everything else. You can't experiment effectively if you don't know what's already been tried. You can't align across functions if information lives in departmental silos. You can't scale AI if it doesn't have access to your institutional knowledge.

This focus on documentation reflects something deeper: A desire to make the development process itself more sustainable. While other priorities—like cross-functional alignment or scaling AI—feel tactical and shift quarter to quarter, documentation sits at a foundational layer. Teams prioritize this because they feel the pain of information fragmentation more directly, and fixing it unlocks speed and alignment in everything else.



A phased approach to implementing useful AI

Luckily, solving knowledge fragmentation doesn't require dramatic workflow overhauls or tons of new tools. We broke down a few key phases that can lead to better connected work:

Phase 1: Close information gaps

(0-3 months)

	Steps	Metric	Outcome
	Streamline tools and docs into one shared workspace	Time-to-context (how long it takes to find information)	Reduced manual work and improved team alignment
	Close the gap between leadership and ICs with real feedback loops	Tool reduction (from 6+ → 3-4 core platforms)	

Phase 2: Make AI work for everyone

(3-12 months)

	Steps	Metric	Outcome
	Apply AI where it saves real time—on repeatable, high-value work	AI tool adoption % by team	AI becomes productivity multiplier, not productivity drag
	Connect AI to your central knowledge base to align every level of the org	% of automated updates	

Phase 3: Scale connected excellence

(12+ months)

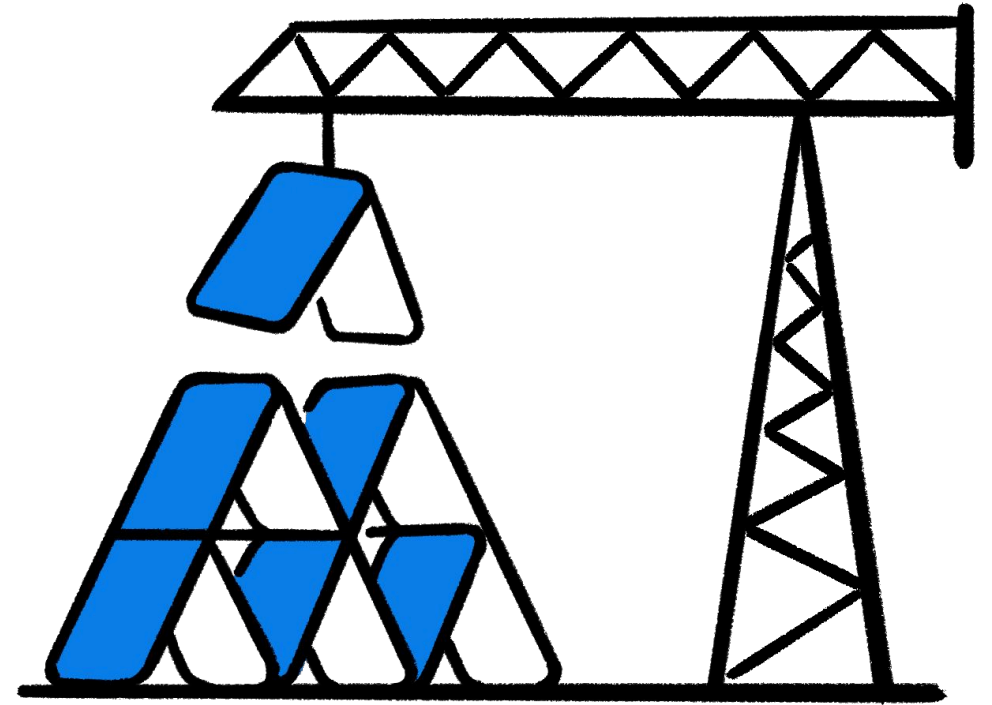
	Steps	Metric	Outcome
	Create a shared knowledge culture that makes AI smarter at scale	Time-to-decision (how long it takes to action knowledge)	Teams operate at full potential with speed, quality, and innovation
	Focus on outcomes that drive sustainable, long-term performance	Cross-functional alignment score	

Connected knowledge that unlocks AI's potential

The future belongs to teams that bridge these gaps now. They'll pull ahead in speed, quality, and innovation while others continue adding tools without integration and fall further behind.

Here's what changes when you stop running below potential:

- **Centralized knowledge** eliminates information scatter. Instead of hunting across six different tools for the latest requirements, everything lives in one searchable, accessible place. Decisions get made faster because teams have complete context.
- **Connected workflows** eliminate manual updates across systems. When product requirements change, the engineering tickets update automatically. When designs evolve, stakeholders get notified without manual status reports.
- **Accessible AI** leverages complete context to deliver reliable, useful outputs. Instead of AI tools working in isolation, teams get AI embedded where they work that understands their full knowledge base and workflow context.



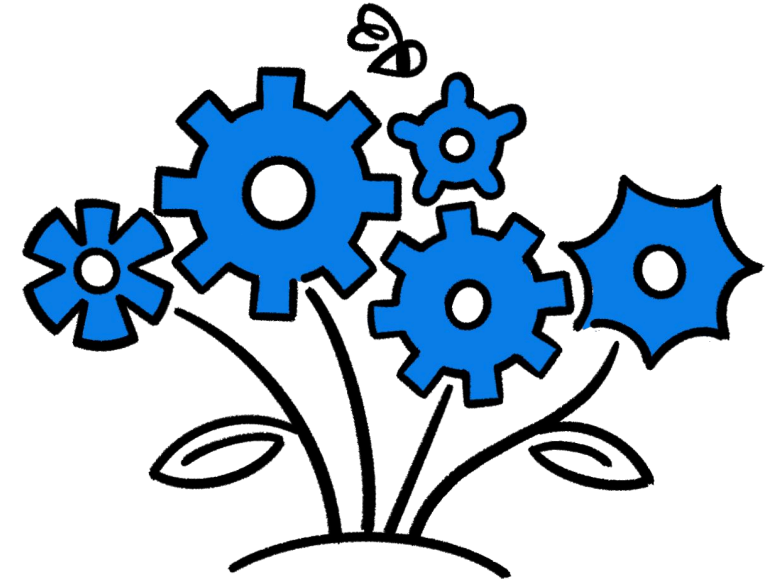
Each phase builds on the previous one—you can't make AI work for everyone until you close information gaps, and you can't scale connected excellence until AI becomes a productivity multiplier.

The teams getting this right aren't starting with AI. They're starting with an improved knowledge foundation, then layering on AI capabilities that actually integrate with how people work.

How Notion helps

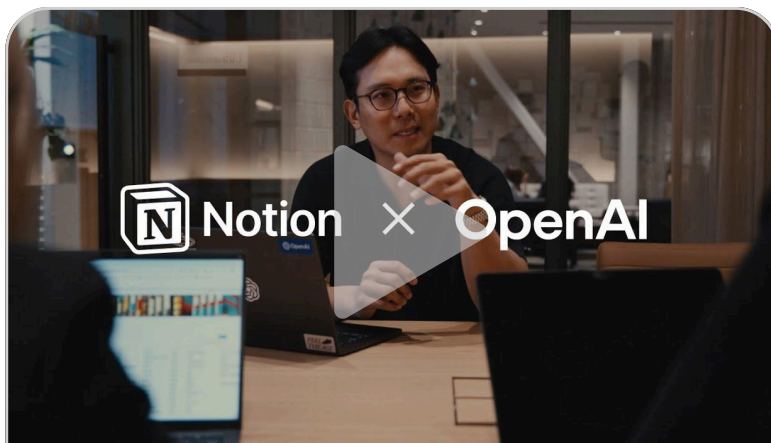
Teams like **Ramp**, **OpenAI**, and **Vercel** have solved the Context Gap by centralizing their company knowledge in Notion and using Notion AI as their embedded AI layer.

- **Enterprise Search** connects Slack, GitHub, Jira and other work tools so teams can find answers without context switching
- **AI Meeting Notes** automatically captures and summarizes decisions and assigns tasks so context doesn't get lost and meetings become actionable
- **Custom Agents** execute workflows end-to-end so teams can focus on strategy and decision-making instead of coordinating busywork across systems

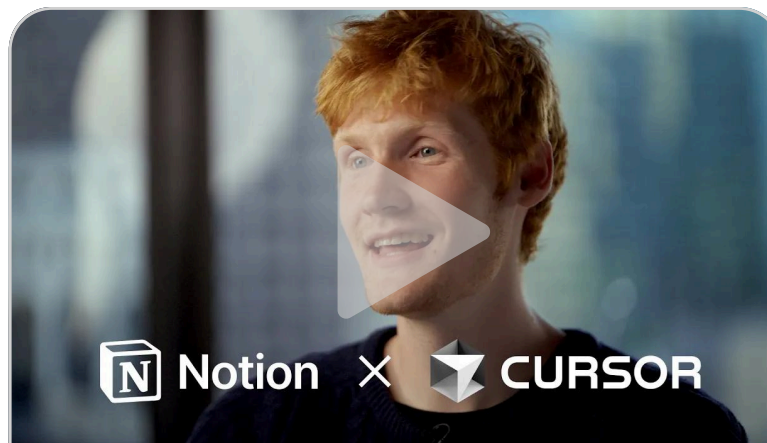


So the bottom-line question isn't whether your team needs to solve these problems—it's whether you'll solve them before your competition does.

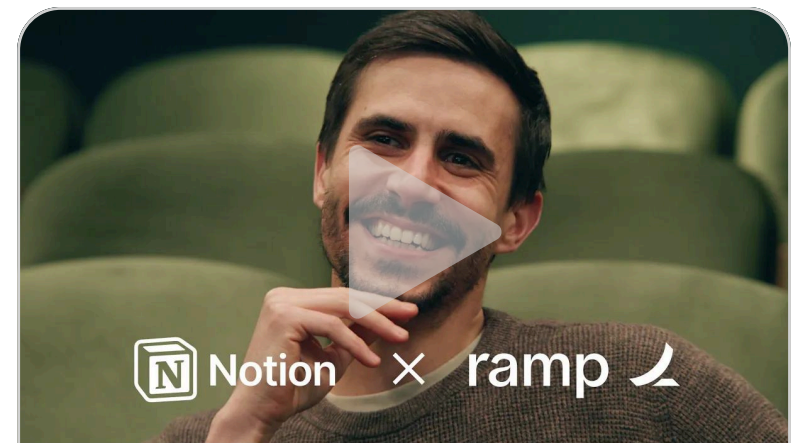
See how innovative teams use Notion



OpenAI turns shared knowledge into faster workflows with Notion



Cursor, the world's fastest-growing startup, stays fast with Notion



Ramp cut tool costs by over 70% and scaled AI across the company



Contact sales

Learn how Notion can work for your team with a personalized consultation



Take a Product Tour

See Notion AI in-action in this 2-min interactive demo

